Why Inflation Forces Interest Rates Higher

GS III

- The Reserve Bank of India must maintain **price stability** while considering economic growth. When inflation rises above its target, households lose purchasing power because the same income buys fewer goods and services, creating pressure for monetary intervention.

- Inflation can intensify when **external shocks** increase production costs. Higher global crude oil prices make transport and manufacturing more expensive, while weak monsoon conditions can affect agricultural supplies, pushing up prices across different sectors of the economy.

- To contain these pressures, the Monetary Policy Committee can increase the **repo rate**, making borrowing more expensive for banks. Higher lending rates can discourage consumption and investment financed through loans, reducing overall demand and limiting further price increases.

- When economic growth remains strong, the RBI has greater room to prioritise inflation control without immediately threatening economic activity. A **calibrated tightening stance** also signals its willingness to maintain restrictive monetary conditions until inflation risks become manageable.

Strong economic growth does not eliminate inflation risks. The RBI uses interest rates to moderate demand, protect purchasing power and support sustainable long-term economic stability.